

TOKENIZATION

Tokenization refers to the process of taking some asset or bundle of assets, either on or off chain, and

1. representing that asset on chain with possible fractional ownership; or
2. creating a composite token that holds some number of underlying tokens.

A token can conform to different specifications based on the type of properties a user wants the token to have. As mentioned earlier, the most popular token standard is ERC-20, the fungible token standard. This interface defines abstractly how a token, which has units that are non-unique and interchangeable (such as USD), should behave. An alternative is the ERC-721 standard, which defines non-fungible tokens (NFTs). These tokens are unique, such as a token representing ownership of a piece of fine art or a specific digital asset from a game. DeFi applications can take advantage of these and other standards to support any token using the standard simply by coding for the single standard.

Set Protocol

Set Protocol³⁴ offers the “composite token” approach to tokenization. Instead of tokenizing assets non-native to Ethereum, Set Protocol combines Ethereum tokens into composite tokens that function more like traditional